THE DUTCH: NEW FINANCIAL PRACTICES & INSTITUTIONS

Watch the VIDEO and take notes on the topics listed below.

EARLY COMMERCIAL ENDEAVORS

? Dutch merchants traded grain, timber, fish, and naval supplies.
? Baltic trade (?mother trade?) built wealth and shipping networks.
? Amsterdam became a major European commercial center.

CREATING AN EMPIRE IN THE EAST & GLOBAL TRADE

? The Dutch East India Company built trading posts and forts in Asia.
? It traded spices, textiles, tea, and other luxury goods.
? Global trade brought profits but relied on colonial control and violence.

1602 - CREATION OF THE VOC

? Founded in 1602 by the Dutch government.
? Received a monopoly on Dutch trade east of the Cape of Good Hope.
? Could wage war, make treaties, build forts, and govern overseas territory.

LAND RECLAMATION

? The Dutch drained lakes and marshes and built dikes.
? Windmills powered pumps that removed water.
? Reclaimed land increased farmland and protected settlements.

CREATION OF THE STOCK MARKET

? Amsterdam?s exchange enabled investors to buy and sell company shares.
? Shares spread risk and helped businesses raise large amounts of capital.
? Speculation and trading in futures also developed.

DECLINE OF THE VOC

? Competition from the English and other European powers reduced profits.
? War, corruption, debt, and high operating costs weakened the VOC.
? The Dutch government took it over in 1799.

RISE OF CONSUMERISM

Watch the VIDEO (first 5 ½ minutes) and take notes on the topics below.

SPENDING INCREASES & EFFECTS

? Growing trade and wealth increased demand for imported goods and luxuries.
? More people bought items such as coffee, tea, sugar, textiles, and household goods.
? Shops, advertising, and fashionable goods expanded; consumption became a sign of status.



CRITICISMS OF CONSUMERISM

? Critics said luxury encouraged greed, vanity, and waste.
? Spending on nonessential goods could weaken thrift and moral values.
? Some feared consumerism increased social competition and inequality.

SUPPORT FOR CONSUMERISM

? Supporters argued trade and demand created jobs and profits.
? Buying goods encouraged production, innovation, and economic growth.
? Consumer choice and comfort could improve everyday life.